AI and the Asset Management Industry

Not how you use AI — how it is changing the business. The money problem it walked into, why it lands hardest on distribution and client coverage, the four things it actually changes, and the one thing it does not.

Doc 53 · "How do you think AI will change the asset management industry?" · Prepared 5 November 2026 · Assumes zero prior knowledge

WHAT IS IN HERE

1. **Part I** — The problem AI walked into. Why the industry needed it.
2. **Part II** — The one sentence that makes this a distribution story.
3. **Part III** — The four things AI actually changes on the client side.
4. **Part IV** — What it does not change. This is the part that wins the answer.
5. **Part V** — The honest bits: evidence quality, headcount, regulation.
6. **Part VI** — Goldman specifically. AlphaAI, and why it matters for CSG.
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PART I

The problem AI walked into

1 Start with the money, not the technology

Almost every candidate answers this question by listing things AI can do. That is the wrong order, and it is why those answers all sound the same.

AI matters in asset management not because it is clever, but because the industry has a specific financial problem it has been unable to solve for fifteen years, and AI is the first thing in a long time that might. So you need the problem first. The technology is the second half of the sentence, not the first.

How the industry earns money, in one line

An asset manager charges a percentage of the money it looks after. Revenue equals assets multiplied by the fee rate. That is the whole model.

Now three facts, all from BCG's *Global Asset Management Report 2026*, published 28 April 2026.

MEDIUM — BCG press release and publication pages; I could not read the full report

- Global assets under management reached **$147 trillion** in 2025.
- Assets have **nearly tripled since 2010** — but profit margins have stayed at **around 30%**.
- More than **80% of industry revenue growth was driven by market performance**.

Read the middle one again, because it is the whole story. Assets tripled. Margins did not move.

That means the industry got three times bigger without getting any more profitable per pound managed. Everything that arrived in the revenue line went straight back out through costs.

And the third fact is arguably worse. If 80% of your revenue growth comes from markets rising, you do not really have a growth business. You have a leveraged bet on the market, dressed up as a business — because when markets fall your revenue falls with them, and you had nothing to do with the direction either way.

The squeeze, in numbers

BCG puts fee compression at **1% to 3% a year**, with management fees **down 23% since 2010**, and costs having **outpaced revenue for fifteen consecutive years**. MEDIUM



Figure 1 — Three times the assets, the same margin. This is the problem AI is being bought to solve.

> An industry whose price falls every year, whose costs rise faster than its revenue, and whose growth comes mostly from markets rather than skill. **That is the room AI walked into.** It is not being bought as a toy. It is being asked to fix a fifteen-year margin problem.

2 And growth got harder, not easier

One more fact before we get to AI, because it explains the urgency.

In US passive funds, the **top ten providers captured more than 90% of net inflows over the past decade**. In private markets, BCG says capital is flowing to "fewer, larger firms." MEDIUM

In plain terms: being good is no longer enough to grow. New money is going to a handful of names. Growth has become a fight over share of flows rather than a ride on a rising tide.

> **WHY THIS MATTERS FOR YOUR ANSWER**
>
> If you say "AI will make asset management more efficient," you have said what every candidate says, and the reviewer stops listening.
>
> If you say **"AI is landing on an industry where the price falls every year and ninety percent of passive flows go to ten firms,"** you have shown you understand the pressure the technology is answering to. Same length. Completely different signal.

PART II

The shift that makes this a distribution story

3 The single most useful sentence in the industry right now

BCG's 2026 report comes in two parts. One of them is titled *Distribution Is the New Source of Advantage in Asset Management*. Its central claim:

> Distribution has **replaced investment performance** as the primary competitive advantage in asset management.

That is a strong claim, so you need to be able to defend it rather than just quote it. There are two reasons it holds.

Reason one: the product commoditised

A FTSE 100 tracker from three different managers is, functionally, the same object. Same holdings, same index, near-identical returns. The only real differences are cost and operational quality. Once that is true for a large slice of the market, "we are better at investing" stops being a sellable claim — there is nothing to be better at.

Reason two: the buyer changed

BCG reports that **retail investors drove 61% of asset growth from 2020 to 2025**. MEDIUM But retail money does not walk in the front door. It arrives through gatekeepers — digital platforms, workplace retirement schemes, insurers. And those gatekeepers decide which managers get to reach it.

> **The analogy that makes this stick.** It is the difference between making a good drink and getting it onto the shelf. For decades the industry believed the drink was the hard part. It has become clear that the shelf is.

Two of the report's authors put it directly. Renaud Fages: *"Performance alone is no longer enough. Firms must compete on distribution, operating model, and their ability to scale technology, particularly AI, to capture growth."* Johannes Burkhardt, more bluntly: *"Distribution now defines who wins."*

MEDIUM — quoted in BCG's own press release

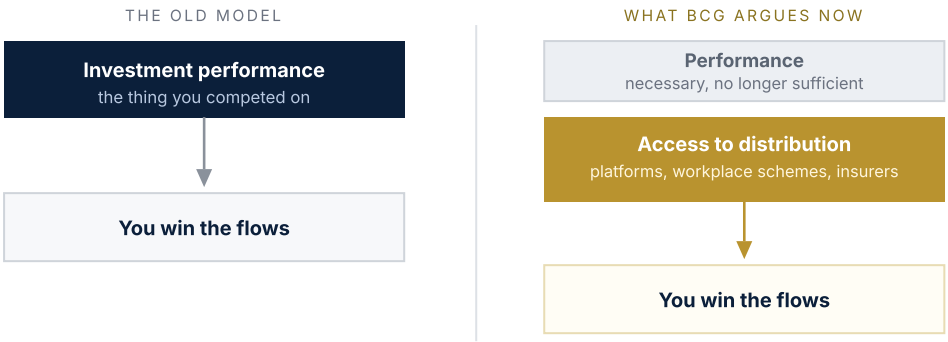


Figure 2 — Where the competitive advantage moved. Performance became the entry ticket; access became the edge.

WHY THIS GIVES YOU A REAL ANSWER INSTEAD OF A GENERIC ONE

Almost everyone will answer this question by talking about AI picking stocks. That story is contested, nearly impossible to verify, and not where the money is.

The commercially literate answer is that **AI's biggest effect is on the distribution side** — because that is where the industry's cost per client actually sits, and because distribution is now where competitive advantage lives.

Which is, not at all coincidentally, the job you have applied for. You do not need to point that out heavily. Saying it once at the close is enough.

PART III

The four things AI actually changes on the client side

4 One: the arithmetic of who you can afford to serve

This is the most important of the four and the least discussed. If you only take one thing from this document, take this.

How it works today

Covering a client costs human hours. Meeting preparation. Portfolio reviews. Quarterly reporting packs. Ad hoc questions — "what is your exposure to this sector," "can you explain last month." Trustee board papers. Requests for proposal and due diligence questionnaires.

Crucially, **that cost is roughly fixed per client, regardless of how big the client is.** A £2bn mandate and a £20m mandate generate similar amounts of paperwork. So the manager covers the £2bn mandate properly and the £20m one barely, or through a wholesale channel where nobody is genuinely covering it at all.

What AI changes

BCG estimates that agentic systems could free **35% to 50% of distribution capacity** by absorbing administrative work across client acquisition, onboarding, reporting and routine requests — and that **client coverage per relationship manager could rise three- to five-fold**.

MEDIUM — BCG's own modelling, not measured outcomes

The conclusion almost everybody gets wrong

The obvious reading is: so firms need fewer salespeople. That may be partly true, and section 10 deals with it honestly. But there is a more interesting commercial conclusion sitting right next to it.

> If the cost of serving a client falls, the **set of clients worth serving gets bigger**. Mandates that were uneconomic become addressable. The binding constraint on growth was never demand — it was coverage capacity.

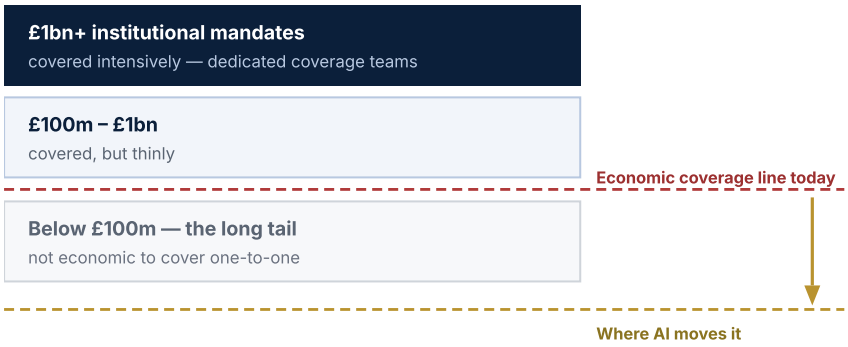


Figure 3 — The coverage line, not the headcount line. When serving a client gets cheaper, the tail becomes a market.

Apply it to pensions, which you already know

There are thousands of small UK defined benefit schemes and a long tail of defined contribution arrangements that no institutional sales team could ever economically cover one-to-one. If coverage capacity rises threefold, that tail becomes a market for the first time.

And here is the nice tension: the consolidation story you already know from the Mansion House work runs in the opposite direction at the same time. Schemes are getting *bigger and fewer* at the top — megafunds, LGPS pooling, master trusts. So you get two forces at once:

- **At the top** — fewer, larger, more sophisticated buyers who demand more customisation and negotiate harder on fees.
- **At the bottom** — a long tail that becomes servable for the first time because the cost of serving it collapsed.

> **WHAT THIS DOES FOR YOU IN THE RECORDING**
>
> Say the second-order point out loud and you are no longer a candidate who read a consultancy headline. You are a candidate who worked out what follows from it. That is a different category of answer, and it costs you one extra sentence.

5 Two: the paperwork gate — RFPs and DDQs

You know this world better than virtually any other candidate applying. Use it, carefully.

What it is, on the distribution side

Before a pension fund, insurer or investment consultant will hire a manager, the manager has to answer a formal questionnaire. Hundreds of questions covering investment process, risk controls, operations, compliance, fees, sustainability, technology, business continuity, key-person risk.

- An **RFP** — request for proposal — is the competitive pitch version. You are one of several managers answering the same questions.
- A **DDQ** — due diligence questionnaire — is the verification version. The client is checking that what you claimed is actually true and properly controlled.

Nothing gets bought without them. They are the gate between a good conversation and an actual mandate.

Why they are expensive

The answers live in dozens of different heads across the firm. Somebody has to route each question to the right subject matter expert, chase them, reconcile the answer against what the firm said six months ago, and get it signed off — usually against a deadline the client set.

What AI changes, and what it does not

What AI takes over	What stays human
Drafting from an existing answer library	Deciding whether the drafted answer is **true**
Routing each question to the right owner	Being accountable for the version that goes out
Flagging where this answer contradicts a prior one	Judging what a contradiction actually means
Compressing turnaround from weeks to days	The relationship that got you invited to tender

A wrong DDQ answer is not an inconvenience. It is a regulatory and reputational problem. So the human work does not disappear — it migrates from *assembling* to *verifying and owning*. That distinction is worth saying in the interview, because it is the general shape of what AI does to professional work.

THE TWIST THAT MAKES THIS GENUINELY CURRENT

Clients are now asking about AI **inside** the questionnaires.

The Investment Company Institute's *Investment Funds Distributor Due Diligence Questionnaire* (August 2026) includes a section on AI, asking whether AI or machine-learning tools are used **in distribution activities**, whether they were built internally or by a third party, and whether policies govern their use including data protection and confidentiality.

MEDIUM — document and section confirmed; verify exact wording before quoting

Separately, Robeco, Aon and Mercer have all published question sets for investors to put to their managers on AI governance: where AI is used, which decisions it influences, who owns the governance, how outputs are checked for bias, what the failure protocol is, and whether the manager can reconstruct the data, assumptions and human approvals behind a material AI-assisted process. Mercer also flags vendor concentration risk — if every manager relies on the same two model providers, that is a systemic dependency. MEDIUM

So AI is simultaneously **the tool that answers the DDQ and the subject the DDQ is asking about.** That is a genuinely interesting observation and almost nobody will make it.

YOUR BRIDGE — AND THE LIMIT ON IT

This is where your Pictet work connects without you having to force it. You rebuilt a questionnaire process around routing and ownership. The industry trend is the same mechanism at scale, with clients now interrogating the AI itself.

But keep it to one clause. If the AI-usage question has already been asked and you used Pictet there, do not tell the story twice. Just say "having worked on the questionnaire side of this, what struck me is…" and move on. Saad's rule applies: no client names, no overclaiming whose idea it was.

6 Three: personalisation stops being a luxury

Today, tailoring a portfolio to a specific client's constraints — their tax position, sustainability exclusions, concentration limits, liability profile — costs real money in people and systems. So it is reserved for the very largest mandates. Everyone else buys a standard fund off the shelf.

BCG's argument is that algorithms can build and manage portfolios tailored to goals like tax optimisation, sustainability preferences or risk constraints, and that the falling cost of tailoring extends capability *"once reserved for the largest mandates to a much wider client base, across public and private assets."* MEDIUM

In plain terms: **bespoke goes down-market.** Model portfolios, custom separate accounts, direct indexing — none of these are new, but they become economic for much smaller pots of money.

WHY THIS MATTERS COMMERCIALLY — AND IT CONNECTS TO SOMETHING YOU ALREADY LIKE

A standard fund is easy to leave. It is a commodity with a price, and a cheaper one will appear.

A portfolio built around your specific constraints is not easy to leave. Unwinding it is work. **Personalisation is a retention mechanism at least as much as a sales one** — which is the same duration-of-fees point you made yourself about asset management versus banking. AI does not just help you win the client. It makes the client harder to lose.

Be careful here, though. This is also where the regulatory exposure is highest. A tailored recommendation is a suitability question, and a model that produces one is making a regulated decision. See section 11.

7 Four: the content layer — a problem, not just a win

Investment commentary. Quarterly letters. Market updates. Client reporting. Pitch material. Thought leadership. All of it is writing, and all of it can now be produced at close to zero marginal cost.

The naive reading is: excellent, we save money. The sharper reading is the one worth saying out loud.

AI commoditises **everything that can be written down**. Which means any firm whose edge *was* the quality of its written output has just lost that edge. The margin migrates to whatever cannot be generated — and the main thing that cannot be generated is **somebody being accountable for what they said**.

If every manager's market commentary is suddenly good, commentary stops differentiating anybody. An industry already competing largely on price has one fewer thing to compete on. That is a real risk, and it is a more intelligent answer to "what is the risk of AI here" than "hallucinations."

And there is a live compliance edge

The SEC's January 2026 FAQ update reportedly states that AI-generated testimonials, social media posts and performance illustrations fall under the Marketing Rule (Rule 206(4)-1). The SEC has also brought enforcement actions over misleading AI claims — three announced in August and September 2026, following the first "AI washing" cases in March 2024 against two registered investment advisers, who paid a combined $400,000 in civil penalties.

MEDIUM — law-firm briefings; the March 2024 cases are well established, the 2026 ones less so

Note what that means: there is no separate "AI washing" offence. Regulators are using existing anti-fraud and marketing rules. Which is exactly the regulatory pattern in section 11.

PART IV

8 Three things that do not move — and this is where you win

Every candidate can list what AI does. Very few can say precisely where it stops. The second list is more impressive than the first, because it requires an actual view.

One: accountability cannot be delegated to a model

A pension scheme's trustees have a fiduciary duty. They are personally answerable for how the members' money is managed. They need a named human being who is answerable to them. You cannot put a model in front of the Pensions Regulator, and no trustee board will accept "the system recommended it" as an explanation.

Two: hiring a manager is a trust decision made under uncertainty

It is usually a committee, usually advised by an investment consultant, choosing between several managers whose numbers all look broadly fine. The decision is not an optimisation. It is a judgment about who they believe will behave well when something goes wrong.

BCG's own framing is blunt about this: technology creates scale, but *"relationships, credibility, and fiduciary confidence determine who captures value."* And then, flatly: *"Trust is paramount."* MEDIUM

Three: judgment at the moment things break

In September 2022, when the gilt move triggered LDI collateral calls across the UK pension system, nobody wanted a better report. They wanted somebody to pick up the phone and tell them what to do, while the information was still incomplete.

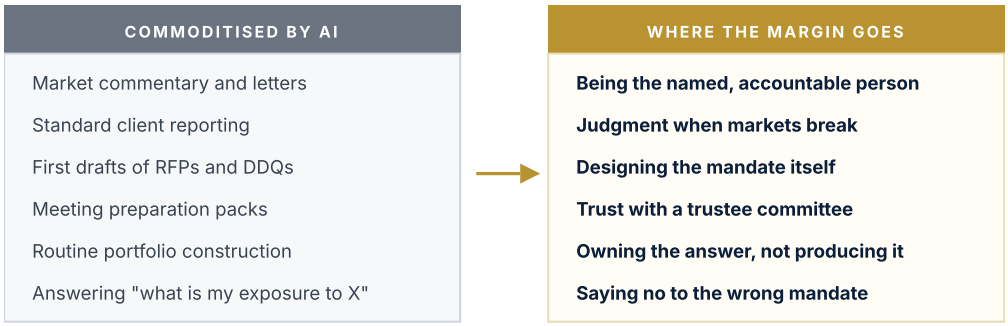


Figure 4 — The two-tier split. Everything writable gets cheap; everything answerable gets valuable.

The right frame is not "AI replaces the client-facing role." It is that **AI removes the part of the job that was producing documents and leaves the part that was being responsible.**

THE PERSONAL BRIDGE — USE THE PRINCIPLE, NOT THE STORY

You now have the Dubai story for "above and beyond" (doc 52), and its core insight is almost exactly this point: the information was not the hard part, being the person who stayed accountable was.

Do not tell that story twice. If it has already been used, compress it to a single clause here: *"I learned something small about this from a family situation where the information was never the difficult part — being the person who stayed accountable for it was."* One sentence. Then back to the industry.

PART V

The honest parts

9 What the evidence actually supports — and what it does not

READ THIS BEFORE YOU QUOTE ANY NUMBER IN THIS DOCUMENT

Most of the productivity figures here are **consultancy projections, not measured results.** The three-to-fivefold coverage uplift, the 25–35% cost reduction, the 35–50% freed capacity, the 0.5–1% of AUM inflow uplift — all of these come from BCG's own modelling of what an "AI-first" asset manager could achieve, not from observed outcomes at real firms.

EY's 2026 study of asset management CFOs found that *"the majority are still in early stages of seeing real transformation using AI and GenAI, especially asset managers headquartered across EMEA and Asia-Pacific."*

So say **"the estimates suggest"** or **"consultants are modelling"** — never "AI has delivered." If the reviewer knows the industry, that single word of hedging is the difference between sounding informed and sounding sold-to.

That honesty is worth marks in its own right. A candidate who presents a consultancy projection as established fact is a candidate who will present anything as established fact — and in a role where you talk to clients about their money, that is a genuine risk the reviewer is screening for.

10 The headcount question, answered honestly

You might get asked this directly. You might also choose to raise it yourself, which is braver and better.

What the evidence says

EY's *2026 Future of Asset Management Study* is based on 21 in-depth interviews with asset management CFOs and COOs at firms managing from $250bn to over $500bn, across the Americas, EMEIA and Asia-Pacific. HIGH — methodology read directly from the report Its finding on talent:

EY, 2026 FUTURE OF ASSET MANAGEMENT STUDY

"Our research shows that some asset management leaders are looking to reduce junior headcount and increase automation, although this is often accompanied by upskilling mid-tier staff with AI tools and investing significantly in senior hires — especially for sales functions."

Separately, a survey of 41 asset managers on distribution headcount found national sales teams grew roughly 1% and specialist sales teams about 3% year on year, with reductions as common as additions.

MEDIUM — industry survey via secondary reporting

Put those together: **distribution headcount is roughly flat while industry assets grow.** That is the productivity effect actually showing up in the data, rather than in a model.

How to say it without sounding bleak

THIRTY SECONDS, IF THE QUESTION COMES

"I think the honest version is that the parts of the job that produce documents are being automated, and the parts that hold relationships are being invested in. EY's work this year found firms reducing junior headcount while hiring significantly at senior level specifically in sales. Which tells me the skill worth building isn't producing material faster — it's becoming the person a client trusts when the answer isn't in the material."

WHY THIS ANSWER IS UNUSUALLY STRONG

It acknowledges that the automation includes the kind of work junior people do — which is the thing every candidate carefully avoids saying — and then draws the correct conclusion about what to become instead.

It is self-aware without being self-deprecating, and commercially literate without being naive. Almost nobody in the pile will say it.

11 Regulation — what to say, and the date not to quote

The direction of travel is clear and simple, and it is the opposite of what most people assume. Regulators are largely **not writing new AI rules.** They are saying the existing rules already apply.

The FCA's position is that the Consumer Duty, the Senior Managers and Certification Regime, operational resilience and outsourcing rules apply to a decision made by a model exactly as they apply to one made by a person — and that a firm should be able to name the senior manager accountable for each significant AI use.

MEDIUM — consistent across several secondary sources; I did not read FCA primary publications

That is the interesting point, and it is the one to make: **accountability is the regulatory answer to AI.** Which is the same conclusion as section 8, arrived at from a completely different direction. When two independent

lines of reasoning land in the same place, you have something worth saying.

> **DO NOT QUOTE AN EU AI ACT DATE**
>
> The high-risk obligations were legislated for **2 August 2026**. But a European Commission proposal from November 2025 to push certain deadlines toward late 2027 has created genuine disagreement across the sources I can see — some list 2 August 2026, others 2 December 2027. LOW — sources conflict
>
> If you state a date and it is wrong, you undo all the credibility you built in the previous ninety seconds. Say instead: **"the regulatory direction is that existing accountability rules apply to decisions a model makes."** That is both true and the more interesting observation.

PART VI

Goldman specifically

12 Two things to know, and how to use them

One: the firm-wide tool

The **GS AI Assistant** was made available to all Goldman employees in mid-2025, after around 10,000 staff were already using it. Chief Information Officer Marco Argenti's internal memo described it as *"the first generative AI-powered tool to reach this scale."* Tailored versions exist for different groups — developers, bankers, research analysts, and asset and wealth management — with reported uses including summarising long documents, initial drafting and data analysis. MEDIUM — widely reported from an internal memo

Two: GSAM's own platform

Around **30 July 2026**, Goldman Sachs Asset Management launched **AlphaAI**, an AI investing platform spanning public and private markets. It is led by **Lou D'Ambrosio** in a newly created role as chairman of Artificial Intelligence for Asset Management; he founded the firm's Value Accelerator in 2018 and chairs its AI Investing Leadership Council. The platform draws on the firm's public and private market investment teams and on its portfolio companies, where more than 100 AI applications have been deployed at scale.
MEDIUM — Reuters-reported from an internal memo

His stated investment thesis is worth knowing because it is specific and arguable:

> **LOU D'AMBROSIO, ON WHAT ALPHAAI IS FOR**
>
> "We expect AI to drive greater dispersion within sectors, not just across them, and that isn't necessarily reflected in prices."

Unpack that, because it is a real claim. The common view is that AI creates winning sectors and losing sectors. His view is that the bigger effect is *within* a sector — two retailers, or two insurers, or two logistics firms,

pulling apart because one deploys AI well and the other does not. If markets have not priced that, there is an active management opportunity in it. Whether he is right is genuinely open, which is what makes it worth mentioning.

WHY THIS IS THE RIGHT THING TO KNOW FOR A CLIENT SOLUTIONS ROLE

It tells you GSAM is treating AI as **two separate things at once**:

An investment thesis — what we buy on your behalf, and why within-sector dispersion is an opportunity. **An operating capability** — how we serve you more efficiently and at greater scale.

For a client solutions role those are two entirely different conversations with the same client: "here is how we are investing around AI" and "here is how we are using it to serve you better." Most candidates will only have the second one. Having both is a genuine edge.

DO NOT OVER-SPECIFY ALPHAAI

It was reported from an internal memo, and sources disagree on D'Ambrosio's exact title — some say "chairman of Artificial Intelligence for Asset Management," others "Head of AlphaAI." Goldman disclosed no financial targets, no assets committed, and nothing about client availability.

Safe version: **"Goldman Sachs Asset Management launched an AI investing platform called AlphaAI this summer, covering both public and private markets."** Specific, accurate, and nothing you can be caught out on.

PART VII

Building the answer

13 The opinion ladder for this question

Same device as doc 29. Find the rung you can actually defend, then climb one higher than feels comfortable.

RUNG 1 — WHAT EVERYONE SAYS

"AI will make asset management more efficient and change how we all work." No view. The reviewer has heard it forty times today.

RUNG 2 — TRUE BUT GENERIC

"AI will help with research and automate back-office processes." Accurate, says nothing about where the money is, and nothing about the job you applied for.

RUNG 3 — NOW YOU HAVE A VIEW

"The biggest impact is on distribution rather than investing, because that is where the cost per client actually sits." Defensible, specific, and most candidates never get here.

RUNG 4 — SECOND-ORDER, AND YOUR TARGET

"And the consequence isn't fewer salespeople — it's that the set of clients worth serving gets bigger, because coverage capacity was the binding constraint, not demand."

RUNG 5 — THE CLOSE

"Which is why distribution has replaced performance as the competitive advantage: AI commoditises everything that can be written down, and the margin migrates to the one thing it can't produce — a person who is accountable."

Build the spine at rung 4 and finish on rung 5. Rungs 1 and 2 should not appear in your answer at all, even as a warm-up.

14 The scripted answer

ROUGHLY 110–120 SECONDS SPOKEN AT A NATURAL PACE

"Thanks for taking the time to watch this. I'll make three points: that AI is landing on an industry with a fifteen-year margin problem, that its biggest effect is on distribution rather than investing, and that the consequence is counterintuitive — not fewer client-facing people, but more clients worth serving.

On the first. Asset management revenue is a percentage of assets, and BCG's work this year shows that assets have nearly tripled since 2010 while profit margins have stayed at around thirty percent — fees falling one to three percent a year, costs outpacing revenue for fifteen consecutive years. So AI isn't being bought as a novelty here. It's being asked to fix something structural.

On the second. Most people answer this question by talking about AI picking stocks. I think the more commercially important story is distribution, because that's where the cost per client actually sits — meeting preparation, reporting, RFPs, due diligence questionnaires. The estimates suggest coverage per relationship manager could rise three to fivefold. And the same report argues that distribution has now replaced investment performance as the primary competitive advantage, partly because the product has commoditised, and partly because flows increasingly arrive through platforms and workplace schemes that decide who gets access.

On the third. The obvious conclusion is that firms need fewer salespeople. I think the more interesting one is that if serving a client gets cheaper, the number of clients worth serving goes up. In UK pensions there's a long tail of smaller schemes nobody could economically cover one-to-one — that tail becomes a market.

What I don't think changes is accountability. A trustee board still needs a named person answerable for the advice, and interestingly that's also the regulatory position — existing rules apply to decisions a model makes. AI can produce the update. It can't own the answer. Which is why I'd rather be on the client side of this than the production side."

Timing check. That is about 310 words. At a natural 150 words a minute it lands around two minutes, which is at the top of the window. Rehearse it once with a timer; if you are over, cut the fee-compression detail in paragraph two and the regulatory clause in the final paragraph. Both are additions, not load-bearing.

15 Variant: "what is the biggest risk of AI in this industry?"

Different question, and the tempting answer — "hallucinations" or "data privacy" — is the weak one, because it is a technology answer to a commercial question.

ROUGHLY 70 SECONDS

"I'd say the biggest risk isn't that the models are wrong. It's sameness. If every manager's commentary and client material is suddenly good, then none of it differentiates anybody — and an industry that was already competing mostly on price has one fewer thing to compete on. The firms that were winning on the quality of their written output just lost that edge.

The second risk is accountability drift. Regulators have been clear that they're not writing new AI rules — existing rules apply to decisions a model makes, and the FCA expects a firm to be able to name the senior manager responsible for each significant use. So the firms that get this right won't be the ones with the best tools. They'll be the ones that can show who checked the output.

And there's a quieter one underneath both: if everybody depends on the same two or three model providers, that's a concentration risk the industry hasn't really priced yet."

16 What not to say

Don't say	Why, and what instead
"AI will replace jobs in this industry"	Flat, bleak, and no actual view. Say *which parts of which jobs*, and what the freed capacity gets spent on. Section 10 has the honest version.
"AI will pick better stocks"	Contested, unverifiable, and not the client-solutions story. If you want the investing angle, use D'Ambrosio's within-sector dispersion point — it is at least a specific claim attributable to someone at the firm.
Any EU AI Act date	Sources genuinely conflict between August 2026 and December 2027. Say "the regulatory direction is that existing accountability rules apply."
"Goldman is a leader in AI"	Empty flattery, and the reviewer works there. Name AlphaAI or the firm-wide assistant instead — one specific thing beats any amount of praise.
Any AlphaAI figure	None were disclosed. Inventing one is the single fastest way to fail.
Your own AI prep workflow for this interview	Saad was explicit. Keep it out, in every answer.
Consultancy projections stated as fact	"Estimates suggest." Two words, and they protect everything else you said.
Retelling the Dubai story here	If it has been used for "above and beyond," compress it to one clause (section 8) or drop it entirely.

17 Likely follow-ups, and a one-line answer to each

If they ask	Go to
"So will your job exist in ten years?"	"The document-producing half of it probably won't. The accountable half will, and EY's data suggests that's where firms are actually hiring." Section 10.
"Isn't that just a consultancy slide?"	Agree, cheerfully. "The projections are modelled, yes — but the flat distribution headcount against rising assets isn't a projection, it's already in the survey data."
"What should Goldman do about it?"	"Push coverage down into the mandates that were previously too small to serve, because that's incremental revenue rather than a cost saving." Section 4.
"Where does AI go wrong in a client context?"	A confidently-worded wrong answer in a DDQ or a client letter — because it is both a regulatory exposure and the one thing that destroys trust fastest. Section 5.
"Does this make active or passive management more attractive?"	Honest answer: contested. D'Ambrosio's dispersion argument says active; the commoditisation argument says passive. Say that both are live and which you find more persuasive, with a reason.
"Have you used AI yourself?"	Doc 50. Do not merge the two answers — this question is about the industry, that one is about you.

18 If you only remember five things

1. **Lead with the margin problem, not the technology.** Assets tripled since 2010, margins stuck near 30%, costs outpacing revenue for fifteen years. AI is the answer to that, not a curiosity.
2. **Distribution has replaced investment performance as the primary competitive advantage.** BCG, April 2026. That single sentence makes your answer about the job you applied for.
3. **The second-order point is the winner.** Cheaper coverage does not mean fewer salespeople — it means more clients worth covering. The constraint was capacity, not demand.
4. **AI commoditises everything writable; the margin moves to accountability.** And the regulators arrive at exactly the same conclusion from the other direction.
5. **Hedge the numbers.** "The estimates suggest." Every projection in here is a model, and saying so is the most credible thing in your whole answer.

Sourcing and confidence. HIGH: EY's *2026 Future of Asset Management Study* methodology and its talent finding, both read directly from the report (21 interviews with asset management CFOs/COOs, firms from $250bn to over $500bn AUM, Americas / EMEIA / APAC); the March 2024 SEC AI-washing actions against two registered investment advisers and the combined $400,000 penalty. MEDIUM: all BCG figures — $147tn global AUM in 2025, assets nearly tripling since 2010 against ~30% margins, >80% of revenue growth from market performance, 1–3% annual fee compression, fees down 23% since 2010, costs outpacing revenue for 15 years, top ten US passive providers taking >90% of net inflows over a decade, retail driving 61% of asset growth 2020–25, the 35–50% freed

distribution capacity, the three-to-fivefold coverage uplift, the 25–35% cost reduction, and both author quotations — all from BCG's *Global Asset Management Report 2026* (28 April 2026) via its publication and press pages rather than the full report; the ICI *Investment Funds Distributor Due Diligence Questionnaire* (August 2026) AI section; the Robeco, Aon and Mercer investor question sets; the distribution headcount survey of 41 managers; the GS AI Assistant rollout and the Argenti quotation; AlphaAI, its late-July 2026 launch, Lou D'Ambrosio's role and the dispersion quotation, all Reuters-reported from an internal memo with titles varying between sources; the SEC's January 2026 Marketing Rule FAQ position and the three August–September 2026 enforcement actions; the FCA's "existing rules apply" position. **LOW**: any EU AI Act commencement date — sources split between 2 August 2026 and 2 December 2027 and you should not state one. **MINE**: the coverage-line framing in section 4 and figure 3, the two-tier commoditisation argument in sections 7 and 8, the observation that AI is both the DDQ tool and the DDQ subject, the pairing of the regulatory accountability position with the commercial one, and the opinion ladder. Re-verify anything you intend to say as a number before you say it on camera.